

26STCP02799 26STCP02799

County: los-angeles

Division: Civil Law and Motion

Department: 400

Hearing date: 2026-09-24

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C400%2C09%2F24%2F2026

Source SHA-256: 918e6a527f040e5193877304d972f22b3f20fc6b325192e5da661ac96eba9dec

Case Number: 26STCP02799 Hearing Date: September 24, 2026 Dept: 400

Case Name: DRB CAPITAL, LLC vs A. J.

Case # 26STCP02799

PETITION TO TRANSFER STRUCTURED
SETTLEMENT PAYMENT RIGHTS

Analysis

Legal Standard

This Petition is governed by Insurance

Code sections 10134–10139.5. (See also 321

Henderson Receivables Origination LLC v. Sioteco (2009) 173 Cal.App.4th

1059, 1066.) Under Insurance Code section 10137, a transfer of structured

settlement payment rights is void unless a court reviews and approves the

transfer and finds the following conditions are met:

(a)

The transfer of the structured settlement payment rights is

fair

and reasonable and in the best interest of the payee, taking

into

account the welfare and support of his or her dependents.

(b)

The transfer complies with the requirements of this article,

will

not contravene other applicable law, and the court has reviewed

and

approved the transfer as provided in Section 10139.5.

Pursuant to Insurance Code section

10139.5, subdivision (a), the Court must make the following express findings as

to a transfer of structured settlement payment rights:

(1) The transfer is in

the best interest of the payee, taking

into

account the welfare and support of the payee's dependents.

(2)

The payee has been advised in writing by the transferee to

seek

independent professional advice regarding the transfer

and

has either received that advice or knowingly waived that

advice

in writing.

(3)

The Petitioner has complied with the notification requirements pursuant to

Insurance Code section 10139.5, subdivision (f)(2), and

transferee

has provided the payee with a disclosure form

that

complies with Section 10136 and the transfer agreement complies with sections

10136 and 10138.

(4)

The transfer does not contravene any applicable statute or the order

of

any court or other government authority.

(5)

The payee reasonably understands the terms of the transfer

agreement,

including the terms set forth in the disclosure statement required by Section 10136.

(6)

The payee reasonably understands and does not wish to exercise the payee's right to cancel the transfer agreement.

The

transfer agreement is effective only upon approval in a final court order.

(Ins. Code, § 10139.5, subd. (a).)

When determining whether

the proposed transfer should be approved, including whether the transfer is fair, reasonable, and in the payee's best interest, the Court shall consider the totality of the circumstances, including, but not limited to:

(1) the reasonable preference and desire of

the payee to complete the proposed transaction, taking into account the payee's age, mental capacity, legal knowledge, and apparent maturity level;

(2) the stated purpose of

the transfer;

(3) the payee's financial

and economic situation;

(4) the terms of the

transaction, including whether the payee is transferring monthly or lump sum payments or all or a portion of his or her future payments;

(5) whether the future periodic payments were intended to pay for future medical care of the payee related to the incident that was the subject of the settlement;

(6) whether the payee has other means of income or support sufficient to meet the payee's future financial obligations for support of payee's dependents, such as child support;

(7) whether there were previous transactions involving payee's structured settlement payments; and

(8) whether the payee and his or her dependents are facing a hardship situation. (Ins. Code, § 10139.5, subd. (b).)

Procedurally, Insurance Code section 10136, subdivision (b) provides that ten or more days before the payee executes a transfer agreement, the transferee shall provide the payee with a separate written disclosure statement, accurately completed with the information that applies to the transfer agreement in at least 12-point type.

The Court-approval process requires the transferee to file a petition in the county in which the transferor resides for approval of the transfer. (Ins. Code, § 10139.5, subd. (f)(1).) In addition, the following elements are required to be served and filed not less than 20 days prior to the scheduled hearing on any application for approval of a transfer of structured settlement payment rights (id., § 10139.5, subd. (f)(2)):

(A) A copy of the transferee's current and any prior petitions.

(B) A copy of the transfer agreement.

(C) A listing of each of the payee's dependents, together with each dependent's age.

(D) A copy of the disclosure required in subdivision (b) of section 10136.

(E) A copy of the annuity contract.

(F) A copy of any qualified assignment agreement.

(G) A copy of the underlying structured settlement agreement.

(H) Notification that any interested party is entitled to support, oppose, or otherwise respond to the transferee's application, either in person or by counsel, by submitting written comments to the court or by participating in the hearing.

(I)
Notification of the time and place of the hearing and notification of the manner in which and the time by which written responses to the application must be filed, which may not be less than 15 days after service of the transferee's notice, in order to be considered by the court.

(J)
If the payee entered into the structured settlement at issue within five years prior to the date of the transfer agreement, then the transferee shall provide notice to the payee's attorney of record at the time the structured settlement was created, if the attorney is licensed to practice in California, at the attorney's address on file with the State Bar of California. The notice shall be delivered by regular mail.

(K) Proof of service showing compliance with the notification requirements of this section.

Further, at the time of filing such a petition, the transferee shall file a copy of the petition with the California Attorney General. (Ins. Code, § 10139.) Lastly, the Court shall retain continuing jurisdiction to interpret and monitor the implementation of the transfer agreement as justice requires. (Id. § 10139.5, subd. (i).)

Discussion

DRB Capital, LLC (Petitioner) seeks approval of the transfer of structured settlement payment rights to it by A. J. (Payee) in exchange for \$110,726.60. (Ex. A.) Payee has agreed to sell the following settlement payments: 316 monthly payments of \$1,500.00 commencing on or about September 10, 2034, and ending on or about December 10, 2060.

(Ex. A.)

The discounted present value of the payments is equal to \$173,278.80. (Ex. A ¶ 3(f).) The annuity issuer is American General Life Insurance Company. (Ex. A.) The obligor with respect to the structured settlement payments is American General Assignment Corp. (Ibid.) The disclosure statement provided to Payee by Petitioner complies with section 10136, subdivision (b) and (c). (Petition, Ex. C.)

Petitioner provides a declaration from Payee in support. Payee is 30 years old, not married, has no minor children, and currently works as an Amazon Delivery driver. (Payee Decl. ¶¶ 1, 4.) Payee has previously assigned transfers of structured settlement payment rights. (Id. ¶ 7.) Within the last five years, Payee has attempted multiple previous transactions involving her structured settlement payment that were denied, dismissed, or withdrawn prior to a decision on the merits. (Ibid.) Payee would like to use the funds for satisfaction of debt, medical and dental procedures, and a downpayment on a house. (Id. ¶ 9.) Payee states that she understands the nature and terms of the transaction. (Id. ¶ 10.) Finally, Payee was advised to seek independent professional advice regarding the legal, tax, and financial implications of the transaction, did not seek such advice, and has waived any right or opportunity to seek and receive such advice. (Id. ¶ 12.)

Pursuant to Insurance Code section 10139.5, subdivision (f)(2), the Petitioner has filed:

(A) A copy of the transferee's current and any prior petitions. (YES, though no copies of other prior petitions have been filed because Petitioner could not locate them.)

(B) A copy of the transfer agreement. (YES,

Ex. A.)

(C) A listing of each of the Payee's dependents, together with each dependent's age. (NA.)

(D) A copy of the disclosure required in subdivision (b) of section 10136. (YES, Petition, Ex. C.)

(E) A copy of the annuity contract. (YES, Ex. E.)

(F) A copy of any qualified assignment agreement. (NA.)

(G) A copy of the underlying structured settlement agreement. (YES, Ex. E.)

(H) Notification that any interested party is entitled to support, oppose, or otherwise respond to the transferee's application, either in person or by counsel, by submitting written comments to the court or by participating in the hearing. (YES.)

(I) Notification of the time and place of the hearing and notification of the manner in which and the time by which written responses to the application must be filed, which may not be less than 15 days after service of the transferee's notice, in order to be considered by the court. (YES.)

(J) If the payee entered into the structured settlement at issue within five years prior to the date of the transfer agreement, then the transferee shall provide notice to the payee's attorney of record at the time the structured settlement was created, if the attorney is licensed to practice in California, at the attorney's address on file with the State Bar of California. The notice shall be delivered by regular mail. (NA.)

(K) Proof of service showing compliance with the notification requirements of this section. (YES.)

The Court makes the following findings

pursuant to Insurance Code section 10139.5, subdivision (a):

(1)

The transfer is fair, reasonable, and in the best interest of Payee, taking into account the welfare and support of Payee's dependents.

(2) Payee has been advised

in writing by the transferee to seek independent professional advice regarding the transfer and has either received that advice or knowingly waived that advice in writing. (Petition, Ex. E.)

(3)

Petitioner has provided Payee with a disclosure form that complies with Section 10136 and the transfer agreement complies with Sections 10136 and 10138. (Ex. C.)

(4)

The transfer does not contravene any applicable statute or the order of any court or other government authority.

(5)

Payee reasonably understands the terms of the transfer agreement, including the terms set forth in the disclosure statement required by Section 10136.

(6) Payee reasonably understands and

does not wish to exercise the payee's right to cancel the transfer agreement.

(7) Petitioner has provided a copy of the annuity

contract and the qualified assignment agreement as required by Insurance Code section 10139.5, subdivisions (f)(2)(E)–(F). (YES)

Pursuant

to Insurance Code section 10139.5, subdivision (f)(2), the Petitioner has met the statutory requirements and served the required notice at least 20 days before the hearing.

The Court should approve the transfer

and retain continuing jurisdiction to interpret and monitor the implementation of the transfer agreement as justice requires, provided that Petitioner files the correct documents and Payee demonstrates that she understands the terms of the transaction. (Ins. Code, §

10139.5, subd. (i).)

Conclusion:

The

Court grants the Petition and approves the transfer.